

paying them on behalf of your dependent children.

4. **Dependent Child Care Credit/Exclusion**—A tax credit is available for a portion of your child care expenses each year if your child is under the age of thirteen. This could include payments made to summer day camps and grandma as long as you give the IRS the identification number and address of the person or entity you are paying. Your employer may offer you the option to exclude part of your wages (up to \$5,000) instead of using this credit. See IRS Publication 503 for details.
5. **Earned-Income Credit**—Certain lower earning taxpayers with children may qualify for this refundable tax credit, which means it would behoove you to file your tax return even if you did not have enough taxable income to incur any tax liability. See IRS Publication 596 to determine if you qualify.